5. Since I was confident of the long-term claw back of this stock, I took this as a welcome opportunity and invested a bigger amount at this low price, thus bringing down the average cost price of the stock to a level of ₹10.64 (see the table on next page to understand the average costs at each step)

As expected, sooner rather than later, the markets recovered a little bit and the stock was back to ₹12.25 within a month.

Now, if you compare the stock price on 15th Sep (₹12.25) to the original value of ₹26.50 (in July 2011 when I first bought the stock), I would never have been in a position to sell it off profitably at this stage. Since I exploited the concept of Rupee Cost Averaging to my advantage and since I was keeping abreast of the market situation, my average purchase price for this stock was just ₹10.64 now.

The picture looks so different with Rupee Cost Averaging. Buying at an average cost of ₹10.64 and selling at ₹12.25 within 2 months, seemed lucrative enough (approx 15% returns in a period of 2 months), I decided to sell the stock at this price and pocketed a handsome annualized return of 124%.

Note that the stock was still 50% down from the original price at which I bought it but I still sold the entire amount at a handsome profit. The data in Figure 2.8 will help you to understand the transaction level Rupee Cost Averaging and how it worked for this stock.

Date	Tax Type	Exchange	Quantity	Unit Price	Amount	Average Cost (Rupee Cost Averaging)
2-JUN-11	BUY	BSE	375	26.50	9,937.50	26.50
7-AUG-11	BUY	BSE	350	14.25	4,987.50	20.59
17-AUG-11	BUY	BSE	1100	9.00	9,900.00	13.60
17-AUG-11	BUY	BSE	2850	8.75	24,937.50	10.64
Total			**4,675**		**49,762.50**	